

the hard way that individual stocks can be volatile. He would have been safer investing in mutual funds and diversifying his investments.

To avoid making investing mistakes like Roger did, the following guidelines of “don’ts” for investors should be committed to memory:

- Don’t make any investments that you do not adequately understand or that make you uncomfortable.
- Don’t expect too much too soon—be patient.
- Don’t be married to a stock because you are reluctant to take losses. Learn to accept mistakes and reallocate the remaining funds.
- Don’t be too greedy for capital gains. Just because a stock has gone up does not mean that it will do so indefinitely.
- Don’t overreach for income. Relatively high dividend yields may indicate considerable risk.
- Don’t trade in and out of individual stocks too often. Brokerage fees, taxes, and other expenses can reduce or eliminate profits.
- Don’t let worries about short-term market fluctuations erode your long-term plan and confidence.

In attempting to get the highest return on your investments, what factors ensure the best performance: selection, timing, or allocation? Is it more important what you select, when you select, or how the selection is divvied up? Since we can’t control the markets or time, the surest bet to solid performance is allocation. But what is the correct formula to follow for allocating investments? The answer is that it depends on your age and the degree of risk you are willing to take. As a general rule, the younger you are, the more aggressive plan you can consider (see page 181).

